

Gong cha

In 2006, friends Zhen-Hua Wu and Ming-Hsi Huang founded a boba shop in Taiwan called Gong cha. Boba is a tea, usually served cold with milk, sugar, ice, and warm tapioca pearls, which are added to provide a gummy-like texture and sweet flavor. Throughout the 1990s and 2000s, boba became known as a key part of Asian food culture. As the trend continued, Gong cha emerged as the star player in bringing the Taiwanese treat to North America.

In 2014, Gong cha opened its first U.S. store. Although a bit behind some other entrants into the U.S. boba market, Gong cha quickly established a reputation for high-quality teas, especially in cities with large Asian American populations on the East and West Coasts.

Gong cha selected the Flushing neighborhood in Queens, New York, as its first U.S. location. At the time, this community had an Asian population of around 69% (City of New York 2011), including many Taiwanese immigrants. Soon after the 2014 East Coast opening, Gong cha opened a store in California. With an Asian American population of 50% in 2010 (Bay Area Census n.d.), Fremont, California, was a natural choice. Starting in Asian communities—selling boba to consumers who already knew and loved the sweet tea—set Gong cha up for a smooth international transition.

Boba's Building Blocks

Boba had been around for decades in Asia, but for first-generation Asian Americans, boba became a staple in the 2010s. Asian American teenagers took to it quickly, not only for the enjoyable taste but for the shared experience—having the space to enjoy a familiar drink and bond over a beverage built a sense of community. California teenagers congregated at boba shops after school to order their customized milk tea, including unique flavor combinations and toppings. (Ewbank 2023)

With its focus on premium tea and a midrange price point, Gong cha gained and maintained a large following in Asian American communities on both the East Coast—where the drink was usually called bubble tea—and the West Coast, where it remained “boba.” By 2016, Gong cha was ready to expand to customers who had no nostalgic connection to the drink. It was time to educate consumers on what boba was.

The Path to Success

With a Starbucks on every city corner, American tastebuds and habits were already used to pausing for a beverage on the go. Gong cha desired to become similarly habitual. Study break? Commuting home from work? Going on a first date? Go to Gong cha. Speaking to Sky News, Gong cha CEO Paul Reynish said, “What we’re moving towards is the daily ritual—coffee has done that and we’re breaking through with tea” (Weekly Coffee Dose 2023).

To become *the* spot, Gong cha had to cater to the taste buds of a wider group of Americans, including those who did not have a special connection to boba. The company decided to target millennials and Gen Z. But they knew that might require changing the tea.



Figure 1. A crafted boba drink

Image by 二毛 from Pixabay

In Taiwan and other parts of Eastern Asia, high-quality tea is the main focus. While the boba is important, the toppings (mixed-in items like milk foam and basil seeds) are not the centerpiece. Neither is sugar. But many young American consumers preferred sweet beverages. As Gong cha expanded rapidly in the 2010s, their tea was made sweeter and included syrups. Toppings expanded beyond the traditional Taiwanese tapioca pearls and milk foam into things like herbal jelly, popping bubbles, and aloe, and customers embraced the ability to mix and match their own drinks.

To amplify the experience, Gong cha focused on crafting beautiful drinks that were picture ready (Figure 1). This focus on aesthetics appealed to both Gen Z, who now had an even more Instagrammable¹ drink, and to the Gong cha team who were receiving free promotion on social media.

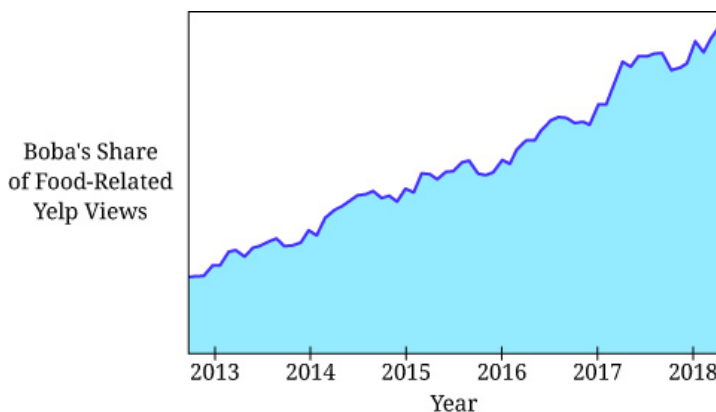


Figure 2. Boba's growth in popularity

By 2018, social media hype around boba tea was rampant. Yelp, a website and app for user reviews and recommendations, found that boba tea was trending higher and higher, taking up a larger share of what people were searching for on the site (Figure 2).

People weren't just searching for online reviews. Food delivery-based ordering was skyrocketing at the time, and in 2021, Grubhub's

"State of the Plate" report revealed boba tea orders increased 505% compared to 2020. Because of this, President of Gong cha Americas, Geoff Henry, stated Gong cha was "leaning heavily into digital" with online orders averaging 13–20% of all store orders (Halen 2024).

¹ Instagrammable refers to something that is visually appealing enough to impress viewers when posted on the social media platform, Instagram.

By 2021, a consumer survey reported that “94% of [Americans] aged between 20 and 29 had purchased boba tea in the preceding three months” (Qin 2023), and the market had grown to nearly \$450 million in revenues.

Thanks to their ability to focus on the tastes and preferences of the younger consumer, Gong cha had become the indisputable leader of the Taiwanese tea brands, far outpacing their competitors in the American market (Table 1).

Table 1. Comparison of U.S. and Asia Location Growth of Gong cha Competitors, from 2014-24

Taiwanese Tea Brand	Asia Locations in 2014	U.S. Locations in 2014*	Asia Locations in 2024	U.S. Locations in 2024
Coco Tea	1,100	3	4,800	21
Sharetea	180	1	197	141
Gong cha	300	3	1,750	200

*Some numbers are exact, while others are close approximations as store count information varies.

The information contained in this case study is for educational purposes only. The companies or parties referenced herein are neither affiliated with, nor endorsed by, the AP Program. The companies and parties referenced herein do not endorse the AP Program.

References

- Bay Area Census. n.d. "Fremont." Accessed March 3, 2025.
<https://census.bayareametro.gov/population?year=2010&location=fremont>.
- Business Wire. 2024. "Gong Cha Ranks #1 in Category in Entrepreneur Magazine's Highly Competitive Franchise 500® List for Third Year in a Row." January 16.
<https://www.businesswire.com/news/home/20240116616919/en/Gong-cha-Ranks-1-in-Category-in-Entrep>.
- City of New York. 2011. "Table PL-P3A NTA: Total Population by Mutually Exclusive Race and Hispanic Origin New York City Neighborhood Tabulation Areas*, 2010." Population Division - New York City Department of City Planning.
https://www.nyc.gov/assets/planning/download/pdf/data-maps/nyc-population/census2010/t_pl_p3a_nta.pdf.
- CoCo Bubble Tea. n.d. "Our Story." Accessed March 3, 2025. <https://cocobubbletea.com/about>.
- Ewbank, Anne. 2023. "How Taiwan's Boba Tea Took over the World." Atlas Obscura. August 7. <https://www.atlasobscura.com/articles/boba-tea-history>.
- Gong Cha. n.d. "Gong Cha Bubble Tea NYC & Manhattan Newest Locations." Accessed March 3, 2025. <https://gongchausa.com/gong-cha-bubble-tea-nyc-manhattan-newest-locations/>.
- Grubhub. 2021. "Grubhub Releases Third Annual 'State of the Plate' Report." Press release, posted by Grubhub, June 30. <https://about.grubhub.com/news/grubhub-releases-third-annual-state-of-the-plate-report>.
- Halen, Michael, host. 2024. *Choppin' It Up*. "Gong cha May Benefit as Bubble-Tea Sales Jump." Bloomberg Intelligence, April 3. Podcast, 31 min.
<https://podcasts.apple.com/us/podcast/gong-cha-may-benefit-as-bubble-tea-sales-jump/id1667545614?i=1000651307688>.
- Qin, Hanzhang. 2023. "Boba's Boom: Reshaping the U.S. Beverage Landscape." *Michigan Journal of Economics*, December 4. <https://sites.lsa.umich.edu/mje/2023/12/04/bobas-boom-reshaping-the-u-s-beverage-landscape/>.
- QSR Magazine. 2023. "Gong Cha Strives to Own U.S. Bubble Tea Market." June 15.
<https://www.qsrmagazine.com/growth/gong-cha-strives-to-own-u-s-bubble-tea-market/>.
- Sharetea. n.d. "Explore Bubble Tea Franchise Opportunity." Accessed March 3, 2025.
<https://www.1992sharetea.com/franchise#:~:text=As%20an%20experienced%20company%20with>.

Topic 2.2 Case

Trieu, Rosa. 2014. "Three Taiwanese Bubble Tea Chains Race to California." *Forbes*, January 1.
<https://www.forbes.com/sites/rosatrieu/2014/01/01/three-taiwanese-bubble-tea-chains-racing-for-california/?sh=66fea33a27a8>.

Weekly Coffee Dose. 2023. "Gong cha Sees Potential for 500 Stores in 'Saturated' UK Coffee Shop Market." World Coffee Portal, June 7.
<https://www.worldcoffeeportal.com/Latest/News/2023/June/Gong-cha-sees-potential-for-500-stores-in-saturate>.